WELLS FARGO
INVESTMENT INSTITUTE

Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Guidance

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Last Week's S&P 500 Index:
+0.5%

Key Takeaways

- *Our analysis suggests there is only a small chance of a recession through the end of 2018. We do not believe the cycle is coming to an end and recommend remaining invested.*
- *We continue to see headwinds in the second half of this year for the S&P 500 and believe we will see a pullback in the index. However, our early preliminary work suggests the S&P 500 index will be higher at year-end 2018 than current levels.*

History shows that Federal Reserve (Fed) rate hike cycles tend to create initial headwinds for multiples. Investors are usually cautious and unsure of how far the Fed intends to hike rates. Will our central bankers make a mistake and choke or restrict economic growth? Fed monetary policy is largely responsible for the ebb-and-flow of the economy. This cycle has not featured, nor do we anticipate, a meaningful acceleration in economic growth. Under this scenario, rate hikes could be more of a potential headwind than normal. That is a key reason why we expect to see multiple contraction in the second half of this year. Our analysis suggests the trailing price-to-earnings (P/E) multiple for the S&P 500 will be in the 17.5x area by year-end 2017 versus the current level of approximately 20.3x. The 20-year median S&P 500 P/E ratio is 16.4x. Our year-end S&P 500 target remains 2230-2330 with an earnings estimate of $127 per share.

This year, we felt the Fed's hinted (per the "dot plot") path of interest rate hikes, three this year and three in 2018, would concern market participants. The bond market already appears to be showing caution. On the day before the March 2017 rate hike, the yield on the 10-year Treasury note was 2.63 percent. Today it is at 2.25 percent. In our opinion, the bond market is telling us that six hikes in two years in a modest-growth economy that isn't showing signs of meaningful acceleration is a headwind and maybe even an outright problem.

While initial reaction to rate hikes might be caution, in most cycles there comes a point where investors become more comfortable that the Fed will not hike rates enough to tip the economy into recession. It is typically at this late-cycle point that investors become less risk averse and more willing to pay up for anticipated future earnings, regardless of inflation or interest rate levels. "Chasing" by investors anxious to catch the next move higher often occurs. This can be a powerful force. It is not unusual for P/Es to be pushed up at this point in the cycle. Such exuberance could begin to set in over the course of 2018. That is largely why we see P/Es crawling marginally higher next year. At this early point in our analysis, a P/E of approximately 18.5x next year's earnings may appear appropriate at year-end 2018.

We are not calling for the cycle to come to an end. We think the probability of a recession occurring between now and the end of next year is low. We continue to see headwinds in the second half of the year as 1) stretched valuations, 2) Fed rate hike cycle uncertainties, 3) lack of fiscal progress in Washington, and 4) investor perception (it may not become reality) that higher wages and Unit Labor Costs late this year and into 2018 will have a negative impact on corporate margins.

Our early preliminary work on year-end 2018 targets suggests that the S&P 500 will be higher at the end of next year than current levels. Will it be tremendously higher? Probably not, but we do think the index will likely be higher than last Friday's close. We are now working to firm up our targets. Our year-end 2018 target ranges and earnings estimates for the major equity indices are currently scheduled to be released on September 18th.

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